

stocks, the nature of the stock itself has a tremendous amount to do with the amount of diversification actually needed.

Some companies, such as most of the major chemical manufacturers, have a considerable degree of diversification within the company itself. While all of their products may be classified as chemicals, many of these chemicals may have most of the attributes found in products from completely different industries. Some may have completely different manufacturing problems. They may be sold against different competition to different types of customers. Furthermore at times when only one type of chemical is involved, the customer group may be such a broad section of industry that a considerable element of internal diversification may still be present.

The breadth and depth of a company's management personnel—that is, how far a company has progressed away from one-man management—are also important factors in deciding how much diversification protection is intrinsically needed. Finally, holdings in highly cyclical industries—that is, those that fluctuate sharply with changes in the state of the business cycle—also inherently require being balanced by some-what greater diversification than do shares in lines less subject to this type of intermittent fluctuation.

This difference between the amount of internal diversification found in stocks makes it impossible to set down hard and fast rules as to the minimum amount of diversification the average investor requires for optimum results. The relationship between the industries involved will also be a factor. For example, an investor with ten stocks in equal amounts, but eight of them bank stocks, may have completely inadequate diversification. In contrast, the same investor with each of his ten stocks in a completely different industry may have far more diversification than he really needs.

Recognizing, therefore, that each case is different and that no precise rules can be laid down, the following is suggested as a rough guide to what might be considered as *minimum diversification* needs for all but the very smallest type of investor:

A. All investments might be confined solely to the large entrenched type of properly selected growth stock, of which Dow, Du Pont, and IBM have already been mentioned as typical examples. In this event, the investor might have a minimum goal of five such stocks in all. This means that he would not invest over 20 per cent of his total original commitment in any